E-commerce Business Performance Report

Executive Summary and Strategic Recommendations

Reporting Period: January To June 2026

1. Executive Summary

This report presents an analysis of the e-commerce business's performance over a six-month period, from January to June 2026. The analysis focuses on sales performance, customer acquisition, purchasing behavior, conversion rates, and customer retention.

The dataset contains 3,500 customers, 11,231 recorded sessions, and 1,955 completed orders, generating total revenue of 1,548,407.

The business achieved its strongest revenue performance in March and April, with April recording the highest monthly revenue of 320,435. Fashion and Electronics were the leading product categories, while Paid Ads and Organic Search generated the largest shares of revenue.

However, the analysis also identifies several areas that require management attention. Revenue declined during May and June, a significant proportion of visitors did not proceed to adding products to their carts, and customer retention decreased considerably after the initial signup month.

The findings suggest that the business has established a promising sales foundation, but improving customer retention, optimizing the conversion process, and maintaining consistent monthly revenue should be among its main priorities.

2. Overall Business Performance

The following indicators summarize the business's overall performance during the reporting period.

Key Performance Indicator	Result
Total Customers	3,500
Total Sessions	11,231
Total Orders	1,955
Total Revenue	1,548,407
Average Order Value (AOV)	792.02
Purchase Conversion Rate	17.41%
Unique Purchasing Customers	1,512

The business generated an average revenue of 792.02 per order. Out of 3,500 registered customers, 1,512 placed at least one order during the reporting period.

This represents approximately 43.2% of the customer base making at least one purchase.

An important opportunity exists in converting registered customers who have not yet purchased. Marketing campaigns, personalized product recommendations, and targeted promotions could help encourage these customers to complete their first purchase.

3. Revenue Performance and Monthly Trends

Revenue increased consistently during the first four months of the reporting period.

Month	Revenue	Month-over-Month Change
January	215,514.50	-
February	260,949.00	+21.1%
March	319,423.00	+22.4%
April	320,435.00	+0.3%
May	246,814.00	-23.0%
June	185,271.50	-24.9%

April recorded the highest revenue, reaching 320,435. Revenue growth was particularly strong between February and March, indicating an improvement in sales performance during the first quarter.

However, the business experienced a noticeable decline after April. Revenue decreased by 23% in May and a further 24.9% in June.

By June, monthly revenue was approximately 42.2% below its April peak.

Key Business Insight:

The decline in revenue during the final two months is one of the most important findings for management. It is worth investigating whether this decline resulted from reduced customer activity, weaker acquisition performance, lower purchasing frequency, changes in product demand, or reduced marketing effectiveness.

Management Recommendations:

- Investigate the reasons behind the May and June revenue decline.
- Compare customer acquisition and purchasing activity across the six months.
- Review marketing campaigns and promotional activities during the declining period.
- Identify the factors that contributed to the strong performance in March and April and evaluate whether they can be replicated.
- Monitor monthly revenue trends to identify negative changes before they become significant.

4. Revenue by Product Category

The analysis shows that Fashion and Electronics are the two strongest product categories in terms of revenue generation.

Product Category	Revenue	Revenue Contribution
Fashion	518,960.00	33.5%
Electronics	333,567.50	21.5%
Home	231,528.00	15.0%
Accessories	196,341.00	12.7%
Sports	144,821.50	9.4%
Beauty	123,189.00	8.0%

Fashion alone contributes approximately one-third of total revenue, making it the business's leading category.

Electronics ranks second, accounting for 21.5% of revenue. Together, Fashion and Electronics generate approximately 55% of total revenue.

Beauty and Sports contribute smaller shares, although their performance should not be evaluated based on revenue alone. Profit margins, operating costs, and customer demand should also be considered.

Key Business Insight:

The business relies considerably on Fashion and Electronics for revenue generation. This creates an opportunity to strengthen these categories while exploring ways to improve the performance of smaller categories.

Management Recommendations:

- Prioritize inventory availability and product selection in Fashion and Electronics.
- Identify the best-selling products within these categories.
- Explore cross-selling opportunities, such as recommending accessories alongside fashion or electronics purchases.
- Investigate whether promotional campaigns could improve the performance of Beauty and Sports.
- Evaluate category profitability before allocating additional resources.

5. Revenue by Customer Acquisition Channel

The acquisition channel analysis highlights which marketing sources contribute most to sales revenue.

Acquisition Channel	Revenue	Revenue Contribution
Paid Ads	458,200.50	29.6%
Organic Search	414,221.00	26.8%
Social Media	346,372.50	22.4%
Referral	204,426.50	13.2%
Email	125,186.50	8.1%

Paid Ads is the largest revenue-generating acquisition channel, contributing 29.6% of total revenue.

Organic Search follows closely, contributing 26.8%. This is particularly important because organic traffic can provide a sustainable source of potential customers without relying entirely on paid advertising.

Social Media also demonstrates a meaningful contribution, generating 22.4% of total revenue.

Together, Paid Ads, Organic Search, and Social Media account for approximately 78.8% of total revenue.

Key Business Insight:

The business receives most of its revenue from three acquisition channels. However, generating high revenue does not necessarily mean that a channel is the most profitable.

For example, Paid Ads generates the highest revenue, but its advertising costs are not included in the dataset. Therefore, its actual return on investment cannot be determined from the available information.

Management Recommendations:

- Continue monitoring Paid Ads performance while evaluating advertising costs and return on investment.
- Invest in improving organic search visibility through SEO and relevant content.
- Evaluate which social media platforms generate the highest number of purchasing customers.
- Explore email marketing campaigns to encourage repeat purchases and reactivate inactive customers.
- Compare customer acquisition costs and customer lifetime value across channels before increasing marketing budgets.

6. E-commerce Conversion Funnel Analysis

The conversion funnel provides insight into customer behavior throughout the purchasing journey.

Conversion Stage	Sessions	Conversion from Previous Stage
App Open	11,231	-
View Product	11,231	100%
Add to Cart	4,366	38.9%
Begin Checkout	2,539	58.2%
Purchase	1,955	77.0%

The overall purchase conversion rate is 17.41%, meaning that approximately 17 out of every 100 recorded sessions resulted in a purchase.

The most significant drop-off occurs between viewing products and adding them to the cart. Approximately 61.1% of sessions at this stage do not progress to adding a product to the cart.

A further 41.8% of customers who add products to their carts do not proceed to checkout.

The final checkout stage performs relatively better, with approximately 77% of checkout sessions resulting in a completed purchase.

Key Business Insight:

The largest opportunity for improving conversion rates exists before customers add products to their carts.

This may indicate issues related to product pricing, product presentation, delivery expectations, product availability, or the relevance of recommended products.

The checkout process also presents an opportunity for improvement, although its completion rate is comparatively strong.

Management Recommendations:

- Review product pages to ensure that pricing, descriptions, images, and product information are clear.
- Evaluate whether delivery fees or unexpected costs discourage customers from adding products to their carts.
- Introduce personalized recommendations and relevant product suggestions.
- Consider abandoned-cart email campaigns or remarketing activities.
- Investigate checkout abandonment to identify possible payment or usability issues.

An additional tracking consideration is that App Open and View Product have identical session counts. Management should verify that the tracking definitions accurately distinguish between opening the application and viewing an individual product.

7. Customer Retention and Cohort Analysis

Customer retention is an important indicator of long-term business sustainability.

The cohort analysis evaluates customer activity based on the month in which customers registered.

The dataset includes four signup cohorts:

- January 2026: 865 customers
- February 2026: 719 customers
- March 2026: 1,070 customers
- April 2026: 846 customers

The first month represents the initial signup month, where customer activity is recorded at 100%.

However, retention decreases in subsequent months.

For example, the January cohort shows the following retention pattern:

Months Since Signup	Retention Rate
Month 0	100%
Month 1	47.5%
Month 2	44.3%
Month 3	22.8%
Month 4	20.6%
Month 5	21.7%

The February cohort also experiences a decline, with retention decreasing from 51.9% in the first month after signup to approximately 15.0% by the fourth month.

Key Business Insight:

The retention analysis suggests that maintaining customer engagement after the initial signup period is a challenge.

Although the business is acquiring customers, a significant proportion do not remain active in subsequent months.

This creates an opportunity to improve long-term customer value by encouraging repeat visits and purchases.

Management Recommendations:

- Introduce loyalty programs and incentives for repeat customers.
- Use targeted email campaigns to reconnect with inactive customers.
- Offer personalized promotions based on previous purchases.
- Identify which customer acquisition channels bring customers with stronger long-term retention.
- Monitor cohort retention regularly to evaluate the effectiveness of customer engagement initiatives.

It is also important to distinguish between customer activity and actual repeat purchasing. An active customer is not necessarily a purchasing customer, so both metrics should be monitored separately.

8. Key Business Challenges and Opportunities

Based on the analysis, the following areas deserve management attention.

A. Revenue Decline

The decrease in revenue during May and June requires further investigation. Understanding the reasons behind this decline is essential for maintaining stable business performance.

B. Customer Retention

The decline in customer activity after signup indicates an opportunity to strengthen customer relationships and increase repeat engagement.

C. Conversion Optimization

The largest funnel drop-off occurs before customers add products to their carts. Improving product presentation and customer experience could help increase conversion rates.

D. Marketing Effectiveness

Paid Ads and Organic Search are the leading revenue contributors. However, marketing investment decisions should also consider acquisition costs and customer lifetime value.

E. Product Category Performance

Fashion and Electronics generate more than half of total revenue. Maintaining their performance while developing other categories could support future growth and reduce excessive reliance on a limited number of categories.

9. Strategic Recommendations for Management

The following actions are recommended based on the findings of this report.

10. Conclusion

The six-month analysis demonstrates that the e-commerce business has generated a solid revenue base,

Priority	Recommended Action	Expected Business Benefit
High	Investigate the May and June revenue decline	Improve revenue stability
High	Improve product-page and add-to-cart conversion	Increase completed purchases
High	Develop customer retention campaigns	Encourage repeat purchases
Medium	Evaluate marketing channel profitability	Improve marketing budget allocation
Medium	Strengthen Fashion and Electronics categories	Maintain key revenue sources
Medium	Improve the performance of lower-revenue categories	Diversify revenue sources
Medium	Monitor customer cohorts and purchasing behavior	Improve customer lifetime value

supported primarily by Fashion and Electronics and three major acquisition channels: Paid Ads, Organic Search, and Social Media.

However, the results also highlight challenges that could affect future growth, particularly the decline in revenue during the final two months, customer inactivity after signup, and the significant loss of potential customers before they add products to their carts.

From a management perspective, the next stage should not focus exclusively on acquiring more customers. Greater attention should also be given to converting existing visitors, retaining current customers, and improving the overall purchasing experience.

The business has an opportunity to achieve more sustainable growth by combining effective customer acquisition with stronger retention strategies and continuous conversion optimization.

Ultimately, improving the quality of customer relationships and maximizing the value generated from existing traffic could be just as important as increasing the number of new customers.

Report Scope and Data Limitations

This report is based on the data available in the provided Excel workbook for January through June 2026. Customer signup records cover January through April, while session and order records cover the full six-month reporting period.

The analysis focuses on revenue, orders, sessions, customer activity, and conversion behavior. The workbook does not provide advertising expenditure, operating costs, product costs, profit margins, or customer acquisition costs. Consequently, profitability, return on advertising spend, and customer lifetime value cannot be accurately calculated from the available data.

The findings should therefore be interpreted as an assessment of sales and customer performance rather than a complete financial performance evaluation.
